BOARD DISCUSSION DOCUMENT · FICTIONAL COMPANY, TEST RUN

Lakeshore Mutual: deploy AI in finance in three waves over 18 months

The decision: approve the phased roadmap and the $4.0M budget.

Start AI in finance with reconciliation and report validation, then scale in three waves

Situation

Finance has 210 FTE. 34% of their time goes to close and reconciliation, the largest share of any activity.

Complication

Month-end close takes 11 business days against a peer median of 6. Finance makes 4,800 manual journal entries a month, and there were 3 restatements in 2024.

Resolution

Five use cases save an estimated 58,000 hours a year (client estimates). Wave one, reconciliation matching and regulatory report validation, carries 27,000 of them. We ask the committee to approve the roadmap and the $4.0M budget over 18 months.

Hours are client estimates and have not been validated. Their dollar value is not yet sized (page 10).

Source: Lakeshore internal time survey; client-commissioned close benchmark; client use-case estimates; team analysis.

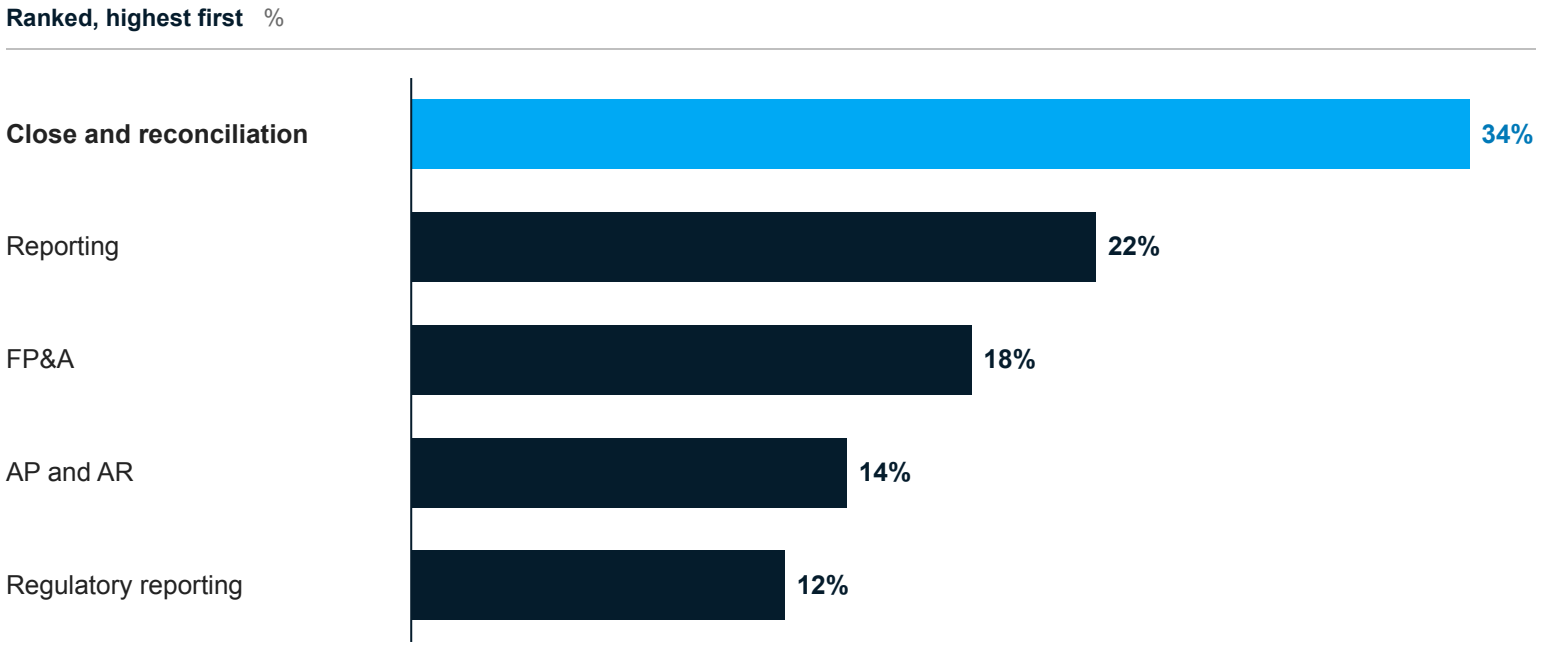
Four claims lead to one decision: approve the roadmap and the budget

1. Finance time is concentrated in close and reconciliation	Page 4
2. The close runs five business days behind the peer median	Pages 5 and 7
3. Five manual workflows save an estimated 58,000 hours a year	Pages 6, 8 and 9
4. Three waves sequence the value over 18 months	Pages 10 to 12

Source: contents of this document. Each page carries its own source line.

Close and reconciliation absorb 34% of finance time, more than any other activity

Share of finance team time by activity, %, internal survey



WHAT THE SURVEY SAYS

- The 210-person finance team spends 34% of its time on close and reconciliation.
- Reporting, FP&A, AP and AR, and regulatory reporting take the other 66%.
- The survey gives no sample size or date. Both are needed before the figures go to the board.

Source: Lakeshore internal time survey (sample size and date not given); team analysis.

Lakeshore closes its books in 11 business days, five more than the peer median of 6

11

Business days to close, Lakeshore

5 days longer than the peer median

6

Peer median close, business days

Client-commissioned benchmark; peer set not given

5

Business days gap to the peer median

Derived: 11 less 6

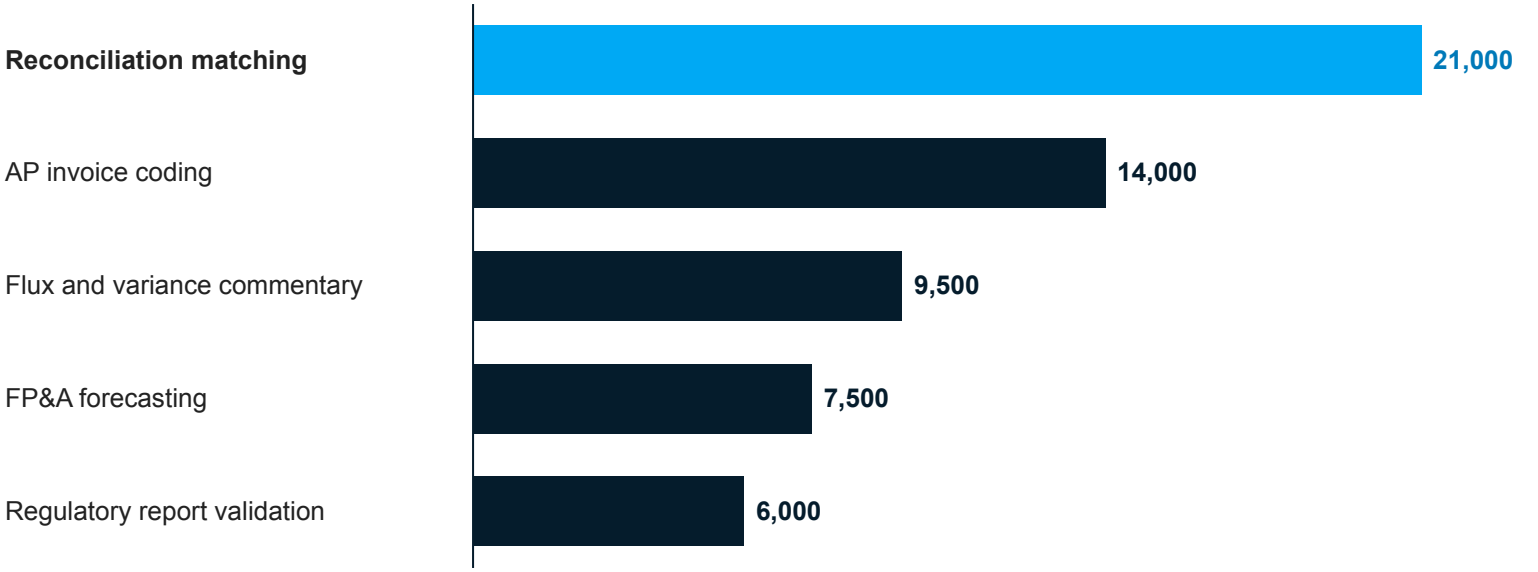
Every day of close is a day the reporting team cannot spend on analysis. The benchmark's peer set and date are not given, so the gap stays a client figure until it is confirmed.

Source: Lakeshore finance close (client-commissioned benchmark, peer set and date not given); team analysis.

Five manual workflows take an estimated 58,000 hours a year; reconciliation is the largest share

Hours saved a year if automated, client estimates, not validated

Ranked, highest first hours a year



READING THE RANKING

- Reconciliation matching alone is 36% of the total.
- Doing nothing leaves all 58,000 hours in manual work.
- Regulatory report validation is the smallest at 6,000 hours. It still bears on the 3 restatements in 2024.

Source: Lakeshore use-case estimates (client, not validated); team analysis.

Manual journals and 3 restatements in 2024 make control a first test, not a settled priority

What the material shows	What is not yet known
4,800 manual journal entries a month	How many are corrections or reversals: n/a, source needed
3 restatements in 2024	Root cause of each restatement: n/a, source needed
Close of 11 business days against a peer median of 6	Which close steps cause the delay: n/a, source needed
Close and reconciliation take 34% of 210 FTE time	Cost of manual close in dollars: n/a, no loaded cost per hour supplied

The restatement causes decide whether control or speed comes first. That is the first test in the next phase.

Source: Lakeshore finance records as supplied (journal volume, restatement count); client close benchmark; internal time survey.

Phasing by value is the recommended option, and doing nothing leaves every hour in place

Three options against the hours at stake; scoring is team judgment, no cost data supplied

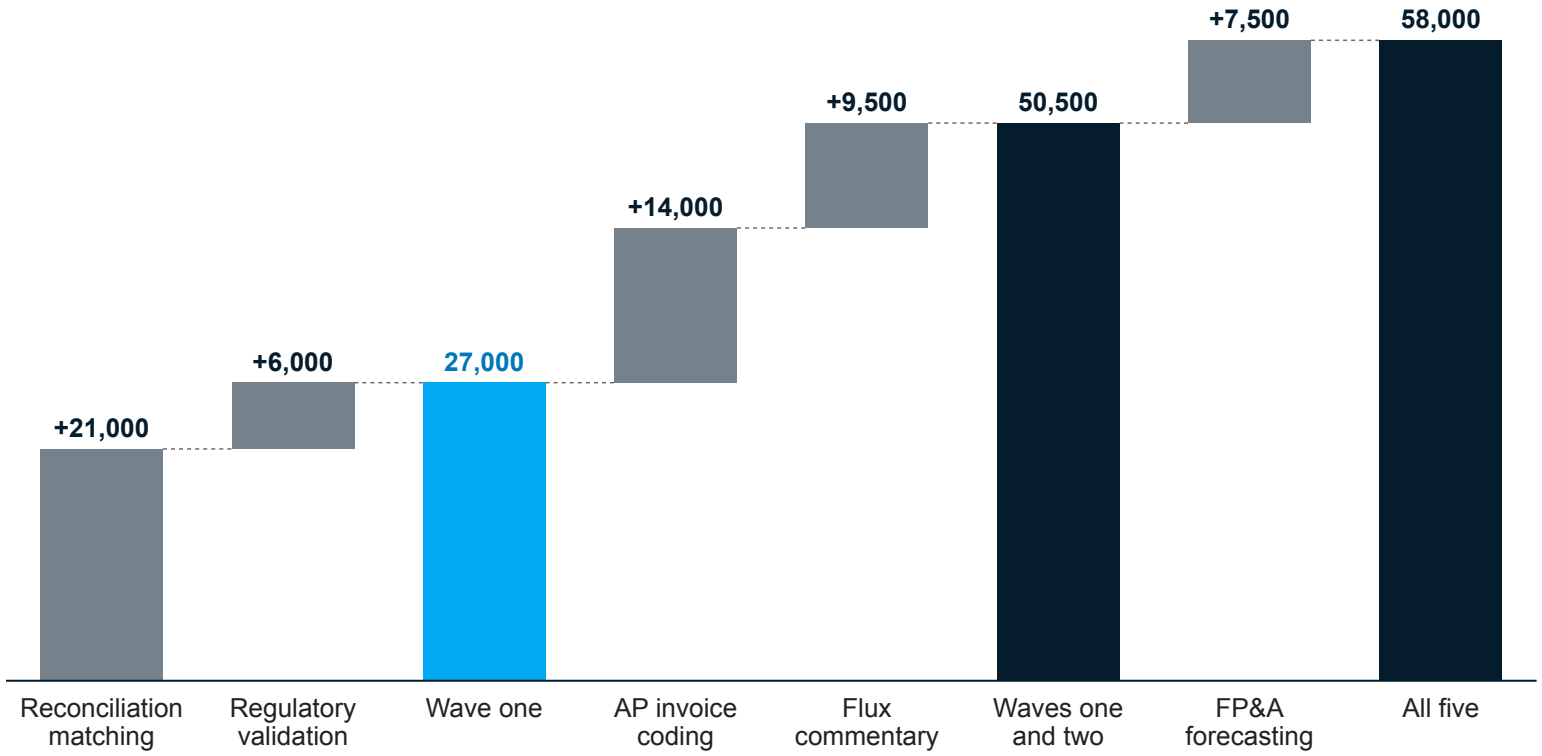
Option	What it means	Hours a year addressed	Main risk
Do nothing	Keep manual workflows and current staffing	None of the 58,000	The close gap and the restatement risk stay as they are
Full rollout	Build all five use cases at once	All 58,000 at full run-rate; timing n/a	Delivery risk across every area at once; cost per use case not yet known
Three waves (recommended)	Reconciliation and report validation first, then AP and flux, then FP&A	**27,000 in wave one, 47% of the total**	Depends on the client's hour estimates; wave costs not yet set

Source: Lakeshore use-case estimates (client, not validated); team analysis.

Wave one delivers an estimated 27,000 of the 58,000 hours a year at stake, 47% of the total

Hours saved a year at full run-rate, client estimates, cumulative by wave

Hours a year, built up by use case hours



WHAT WAVE ONE HOLDS

- Reconciliation matching and regulatory report validation. Together they touch the close and the 2024 restatements.
- Values are hours, not dollars. A dollar value needs a loaded cost per hour from Lakeshore.
- Waves one and two together reach 50,500 hours. Each subtotal is the sum of the steps above it.

Source: Lakeshore use-case estimates (client, not validated); team analysis.

The $4.0M budget cannot yet be tied to value; cost per use case is the missing input

Hours a year by use case (client estimates) against the cost data we do not have

Use case	Area	Hours a year	Build cost	Dollar value
Reconciliation matching	Close and reconciliation	21,000	n/a, source needed	n/a, needs loaded cost per hour
AP invoice coding	AP and AR	14,000	n/a, source needed	n/a, needs loaded cost per hour
Flux and variance commentary	Reporting	9,500	n/a, source needed	n/a, needs loaded cost per hour
Regulatory report validation	Regulatory reporting	6,000	n/a, source needed	n/a, needs loaded cost per hour
FP&A forecasting	FP&A	7,500	n/a, source needed	n/a, needs loaded cost per hour
Total		**58,000**	**$4.0M over 18 months, all five**	n/a

Two inputs close the gap: build cost per use case and loaded cost per hour. Both are needed before wave two is funded.

Source: Lakeshore use-case estimates (client, not validated); $4.0M budget per Lakeshore material; team analysis.

Four beliefs carry the case, and each one has a test we can run before wave two

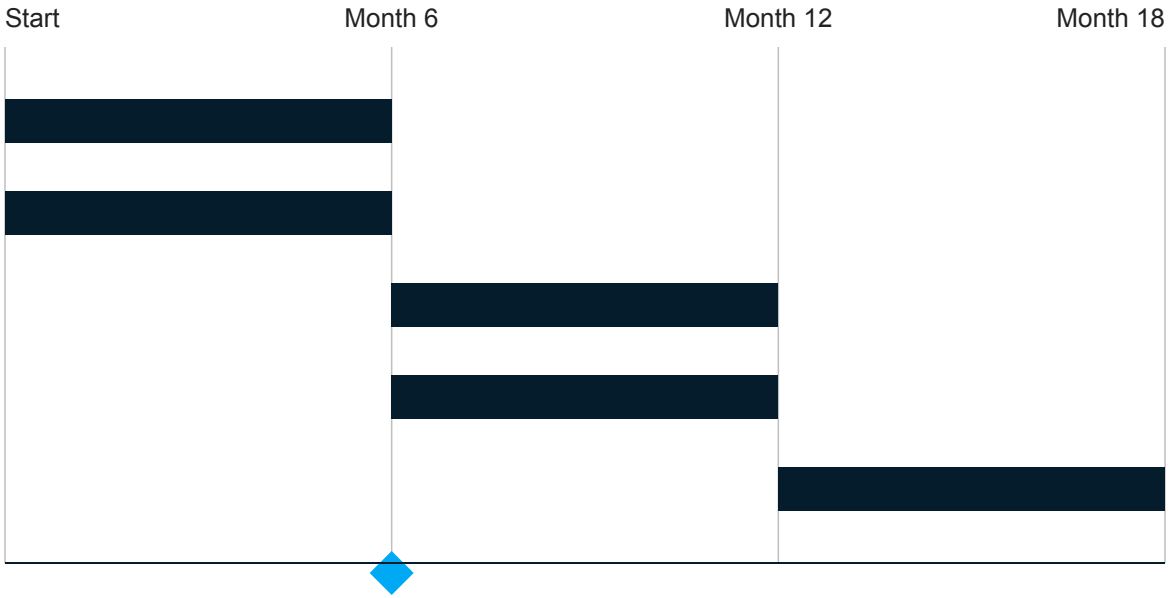
What we believe	How we would know we are wrong
The hour estimates are reasonable for the five workflows	A time study of the same workflows gives materially fewer hours
Close can move toward the peer median of 6 business days	The peer set behind the benchmark does not match Lakeshore's size or operating model
Part of the 4,800 monthly manual journal entries can be automated	A ledger extract for one month shows a mostly non-routine mix
The 2024 restatements have a process cause that automation can reach	A root-cause review finds data or policy causes that tooling does not reach

Source: Lakeshore figures as supplied; tests proposed by team.

Three waves over 18 months put reconciliation and report validation first

Proposed timing from programme start, months; durations and owners are a team proposal

Workstream	Proposed owner
Wave one: reconciliation matching	Controller (proposed role)
Wave one: regulatory report validation	Regulatory reporting lead (proposed)
Wave two: AP invoice coding	AP and AR lead (proposed)
Wave two: flux and variance commentary	FP&A lead (proposed)
Wave three: FP&A forecasting	FP&A lead (proposed)
Wave two released once costs are confirmed	CFO (proposed)



Source: team proposal built on Lakeshore use-case estimates; durations and owners are proposals, not taken from the material.

Approve the roadmap and the $4.0M budget now, and release wave two once costs are confirmed

Recommendation: approve, with one condition on wave two.

Decision or action	Owner	When
Approve the three-wave roadmap over 18 months	CFO	Today
Approve the $4.0M budget; split by wave to follow	CFO	Split before wave two
Commission build cost per use case and loaded cost per hour	Controller (proposed)	Before wave two is funded
Commission a time study to test the hour estimates	Finance (proposed)	[date: CFO to set]

What would reverse this: a time study or cost review that shows a materially smaller benefit. We would then return with a revised roadmap.

Source: team recommendation; figures from Lakeshore material.

Every figure traces to client material; cost inputs and several benchmarks are still missing

Figure	Value	Source	Status
Assets and branches	$14.2B; 96 branches	Client material	Supplied
Finance headcount	210 FTE	Client material	Supplied
Time split by activity	34%, 22%, 18%, 14%, 12%	Internal survey	Supplied; sample size and date missing
Month-end close	11 vs 6 business days	Client-commissioned benchmark	Supplied; peer set missing
Manual journal entries	4,800 a month	Client material	Supplied
Restatements	3 in 2024	Client material	Supplied
Budget	$4.0M over 18 months	Client material	Supplied
Hours saved	58,000 a year, five use cases	Client estimates	Estimate, not validated

Missing inputs: build cost per use case; loaded cost per hour; survey sample size and date; benchmark peer set.

Source: Lakeshore material (fictional company, test run); team analysis.